

5, 4

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level



MARKING SCHEME

NOVEMBER 2023 SESSION

BUSINESS ENTERPRISE SKILLS

4048/2

ownership is an emphasis

- 1 (a) (i) -an unincorporated business owned, managed and controlled by an individual who intends to make profit.
Award 2 marks for a good definition, no part marks awarded
ORA

[2]

- (ii) - suffers from unlimited liability(assumes all risks)
- limited capital restricts expansion and growth
- lack of expertise to run the business
- lack of continuity
- no time to rest/ holidays
- no consultation in decision making
- suffers losses alone
* leads to poor decisions
- lack collateral security
1 x 1 mark = 3 marks
ORA

[3]

- (b) - production engineering
- lean production
- quality circles
- Just In Time
- Bench marking
- zero defects
1 x 1 mark = 2 marks
- continuous improvement / kaizen approach
- time beat management [2]

- (c) - quality management is a process that ensures a business's enterprises products or service is consistent with standards. / or put it intended purpose.

or

- the act of overseeing all activities and tasks needed to maintain a desired level of output, includes creating and implementing quality planning and assurance ,quality control and improvement.

Award 2 marks for a good explanation, no part marks
ORA

[2]

- (d) Demography-age ✓, race ✓, gender ✓, religion ✓, income ✓, etc
Behavioural
Personal interest/life style
- Geographical/ regional
- Occasional
- psychographic
1x1 mark = 4 marks
ORA

[4]

- corruption / payment of bribes
- economic constraints
- stiff competition
- packaging costs
- insurance costs
- diff in measurements and weight

(e) (i)

- tariff barriers
- administrative policies
- language barriers
- cultural diversities/ unique civilisations
- political instability
- place constraints/diverse geography
- variations in exchange rates
- norms and ethnic challenges
- terrorism and racism

- high transport costs - risk of non payment
- a lot of paperwork / documentation

1 point developed 2 marks

marks

mere listing 1x1 = 2 marks maximum

ORA

- x

[4]

(e) (ii)

- hire an agent to as interpreter
- venture into/adopting e-purchasing
- carry out research
- avoid countries with political instabilities / choose peaceful countries
- relocate the business enterprise
- work with ECAD

1x1 mark = 2 marks

ORA

[2]

(f) (i)

Fixed costs/contribution per unit

\$20000/\$2

= 10000 sweets/units

award 1 mark correct formula

award mark for fixed cost

award 1 mark for contribution

award 1 for answer

or

award 1 marks for correct answer only

[4]

(ii)

fixed costs $\times$ selling price $\div$ contribution per unit

= (\$20000 $\times$ \$3) $\div$ \$2

= \$30000

award 1 mark correct formula

award 1 mark correct calculation

1 mark correct answer

or

award 1 mark for correct answer only

apply own figure

[3]

- (iii) - Fixed costs are costs that do not change regardless of level activity, are incurred whether the business is producing or not eg rent, salaries, insurance etc
 - variable costs are that change with level of output /activity eg packaging material, direct material direct labour etc

award 2 marks for a good definition 1x2 marks = 4marks

correct example 1 mark

ORA

[4]

(g)

Benefits

- reduced competition
- sharing of losses
- more capital can be raised
- sharing responsibilities
- more profits can be generated
- partners bring different ideas
- sharing of work load
- specialisation can be practiced

Limitations

- partners suffer from limited liability
- chances of dispute among partners - conflicts
- slow in decision making
- sharing of profits
- no continuity

1 point developed 2 marks 1x2 marks = 10 marks

mere listing both sides 5marks max, one side 3 marks mere listing max

ORA

1 side explained - 6 marks
 $3 \times 2 = 10$ marks

[10]

2

(a)

- new technology - advancement
- change in government policies mark e.g.s - flexible tax holidays
- competitors closing down their operations or relocate
- identifying new markets
- cheaper sources of raw materials
- new taste and preferences of customers - Produce pts required by customer
- discovering idle resources
- business integration or franchise
- network marketing
- increase in population - ↑ in dd
- relaxed regulations by e.g. gov

1x2 marks = 10 marks

one point developed 2 marks

mere listing max 5 marks

ORA

[10]

(b)

Benefits

saves on expensive designer's costs as work is now quicker

- accuracy is increased as they are drawn to scale
- more flexibility of design as each customer's special requirements can be easily added
- designs are made quickly
- can be linked to other programs to obtain product costing
- improved quality designs

Limitations

- computers are prone to viruses hence data is lost
computerizing the production process is expensive

- the vital and confidential information can be hacked

1x2 marks = 10 marks

one point developed 2 marks

mere listing both sides max 5 marks one side max 4 marks

4:1 3:2 1:4 2:3

ORA

- performance affected by power cuts

[10]

- govt becomes the buyer

- export zones - Trade fairs

- training workshops - to impart management skills

- government financial assistance through grants, soft loans, subsidies etc

- giving marketing information after conducting market research

- provide already built factories/ shells and premises to operate from

- tax incentives through tax holidays, tax rebates, tax exemptions and charging low taxes for period

1 point developed 2 marks 1 x2 marks = 10marks

Mere listing 1 x1 mark max 5 marks

ORA

- encourages tariffs

- Trade fairs

[10]

(b)

- poor customer care
- unethical business practises

- lack of knowledge and expertise

- lack of financial resources

- stiff competition

- mismanagement

- lack of market information (poor market research)

- change in consumer tastes and preferences

- strict government policies

- change in technology

- economic conditions

- political conditions

91
82
80
53

- lack of crew
- covid
- political instability
- natural disasters
- overtrading
- poor location
- poor record keeping
- poor planning

However

- technology can be embraced
- management can be trained developed
- managers can be replaced if there is mismanagement
- relocation
- invite more investors

1 x 2 marks = 10 marks

Mere listing 1 x 1 mark both sides max 5 marks, 1 side max 4 marks

ORA

4:1 ; 3:2

ma BMS

[10]

4

Definition

- marketing mix refers to a combination of factors that can be controlled by the company to achieve marketing goals

Product - commodities offered for sale goods or service

- good quality products attract customers, higher prices charged for good quality products, good quality products create brand loyalty, reduces promotional costs as there is no need for intensive advertising of good quality products

However

- high costs of producing quality products
- time consuming when processing quality products

Price - value of profit that customer pays

- price helps a business to recover costs and make profit
- price can help to give assurance of good quality for a product
- competitive prices attract customers, thereby fighting competition

However

- higher prices scare away customers
- low prices can mean a product is of inferior quality resulting in low sales

Place - channels or distribution used to make profit available to customers

- selecting an appropriate channel of distribution makes the product accessible to customers on time
- channels of distribution enables a business enterprise to practice target marketing

- * people
- * process
- * physical evidence

However

- some channels of distribution are costly and not accessible
- some channels of distribution also promotes competing brands

Promotion *- raising awareness of a product & its benefits to customers*

- creates awareness
- increases sales and revenue through persuading customers to buy
- improves company's image
- corrects adverse publicity
- fights competition

However

- it is costly
- can drive away customers if adverts are misleading
- negative publicity

award 2 marks for a good definition no part marks

1x3 marks = 18 marks

one point developed 3 marks

3 marketing mix variables evaluated 18 marks one sided max 9 marks

ORA

identifying it - 4 marks

- definition of marketing mix (6 marks) [20]

5

(a) *- Bank*
- inventory *stock*

- trade receivables / accounts receivables *Debtors - owing*
- cash and cash equivalents *Bank - lifeblood of any business to enable to operate efficiently*
- trade payables / accounts payables *creditors*

1x2 marks = 8 marks

one point developed 2 marks

mere listing max 4 marks

ORA

- rate of stock turn
- output

- (b)
- number of employees or size of workforce *- more large less small*
 - amount of capital invested
 - sales turnover
 - market capitalisation *- listed on a stock exchange*
 - market share
 - amount of profit generated
 - geographical area covered / number of branches

However

- some businesses are labour intensive while others are capital intensive therefore difficult to compare
- capital invested depends with the nature of the business being undertaken
- some businesses deal with high value goods while some deal with low value goods

[8]

- applies to companies only listed on the stock exchange
 - market share depend on nature of industry
 - profits depends on nature of business that is nature of goods it deals with
 - some businesses are housed in tall buildings
- NB we can only compare businesses that in the same industry

1x2marks = 12 marks
 one point developed ^{and evaluated} 4 marks
 mere listing both sides max 6 marks one sided max 5 marks
 ORA 1 point evaluated - 4
 1 sided 6 marks
 mere listing 3 marks

6

(a)

- = identify a need
- compile list of necessities -
 - place requisitions -
 - issue letters of inquiries -
 - invite for tender -
 - bid assessment -
 - issue a contract / place order -
 - receive order
 - record keeping -
 - make payment -

1x2 marks = 8 marks
 one point developed 2 marks
 mere listing max 4 marks
 ORA

(b)

Benefits

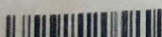
- is able to meet unexpected rise in demand -
- hedges the business against unexpected rise in prices
- business enjoys economies of scale -
- avoids disruption of production process
- eliminates the risk of shortage of inventory/stock outs
- avoids making frequent orders
- ^{proportionally improves eg wine}

Limitations

- high inventory holding costs eg warehousing costs, insurance and security costs + explanation 2 marks
- working capital is tied up in inventory
- greater risks eg obsolescence and fire
- quality of inventory is compromised

1x2 marks = 12 marks
 one point developed 2 marks
 mere listing both sides max 6 marks one sided max 5 marks
 ORA

5:1 4:2 3:3 1:5 2:4



7

(a)

- safety / security of mode
- Reliability
- Flexibility
- possibility of return loads

[12]

- nature of goods / type of goods - give marks if each type eg perishable, cost, Bulky, fragile
- cost of the mode of transport
- distance involved
- accessibility of the area
- availability of the mode of transport
- urgency with which goods are required

1x2 marks = 10 marks

one point developed 2 marks

mere listing max 5 marks

ORA

[10]

(b)

Importance

- customers does the shopping in the comfort of their home
- fast to purchase
- can compare prices
- wide selection of goods
- a convenient way of buying and selling
- its a cheaper way of doing business (reduced marketing costs)
- access to global markets
- faster response to both marketers and end user
- saves costs

However

- lack of personal touch with customers
- need to have access to an internet device
- it takes time to receive your parcel
- inability to identify scams of fake representations
- scam artists often accept orders and then disappear after receiving payments
- inability to experience the product before purchase
- threat to local businesses as customers are able to shop around the world in few seconds

1x2 marks = 10 marks

one point developed 2 marks

mere listing both sides max 5 marks one sided max 4 marks

4:1 3:2 1:4 2:3

ORA

[10]